supporting credit availability for private firms, a necessary condition for growing investment.

The direct impact on consumption from the cut in implied taxes due to the hike in the standard deduction and raising of income tax slabs, while supportive, may not be large enough. If the employment-linked incentive schemes generate the targeted number of jobs, there can be some boost to consumption.

▶ **SABNAVIS:** Yes. The job creation spoken of as well as the lower tax paid by most taxpayers will increase income and hence spending power. As GST is outside the purview, nothing could be done to lower prices. The amount may not be very significant, but this is the maximum that budgets can do, i.e., increase disposable income. For investment, we can see it picking up for sectors that are related to infrastructure.

▶ **NAYAR:** The budget brought in some modest tweaks to the personal income tax, and the resultant relief is highly likely to be channelised towards consumption. Similarly, the modest hikes in rural-focused schemes would benefit rural sentiment, although a sustained pickup in demand is more likely only after the farm sector receives the kharif cash flows.

The reduction in the customs duty on silver and gold will support the relatively labour-intensive industry through enhanced demand and curb illegal imports and smuggling.

On the investment front, the measures to boost credit flow to MSMEs would encourage the purchase of machinery, thereby supporting capacity creation. Additionally, the 17.1 per cent expansion in the government's capex target vis-à-vis FY24, although lower than the 20 per cent-plus rise seen in the last three years, will continue to support the growth in investment demand.

Q. Is there any key area you would have still wanted the budget to address?

▶ **GOYAL:** Post-pandemic budgets have always spent more than they had promised. But last year, spending was marginally less than planned. Although the share of capital expenditure has gone up steadily from around 20 per cent towards 30 per cent, its share was also less than planned, along with large under-utilisation of government cash balances. Part of the spending shortfall may be due to the elections. I would have liked to see some attention on project readiness and expenditure timing and quality in the budget so that we have over-delivery again next year.

▶ **RANADE:** Of course, it is always easy to point out "missed opportunities" in any budget speech. I don't think that is fair, since a budget cannot possibly address all possible issues. The FM has done well to point toward a new comprehensive framework for economic strategy, sort of next-generation reforms. She has also said that the direct tax regime will undergo a thorough overhaul. I would like to see the share of direct taxes go up in the overall kitty. And the range of tax slabs should be widened. Because we go from zero tax to a full 30 per cent bracket within a short span of a few lakh rupees. Instead, the tax slabs should be modest at the lower end, and the high rates should kick in only at high incomes of, say, Rs 1 crore and above. And the tax net should be widened. India acknowledges that it is an outlier compared to other countries, having only 7 taxpayers for every 100 voters. This needs to change.

> "This budget has elucidated the policy direction for a number of sectors. The implementation of the same will now be key"
>
> –ADITI NAYAR

▶ **JOSHI:** The budget should have signalled reforms in land, labour and agriculture. It is important to frontload the reform efforts since the payoff comes with a lag.

▶ **MISHRA:** The budget has indicated that details on a simplified regime of personal income tax and customs duties will be made available in six months, which means by the next budget in February 2025. Similarly, the government's plans to accelerate urban development may perhaps become clearer once the 16th Finance Commission has finalised the direct share of revenues of cities.

▶ **SABNAVIS:** Savings could have been addressed. But the government has given the impression that it is happy with people switching to the new tax scheme with no deductibles. Increasing [the Section] 80C [limit] would have helped a lot to augment savings.

▶ **NAYAR:** Traditionally, a budget is basically meant to be an accounting statement that lays out the revenues and expenses the government anticipates for the fiscal. However, budgets in India are seen as a major policy statement of the government. This budget has elucidated the policy direction for a number of sectors. The implementation of the same will now be key. ■